

21 April 2026

Upcycle conditions met; we raise our PT to W840k and stay OW

We are picking up stronger signs of supply-demand (S-D) tightness and price hike potential in SEMCO's key operations, MLCC and Substrate. Despite meaningful share outperformance in the past 1M (SEMCO +47% vs. Kospi +8% vs. MLCC/Substrate peers at +31%/+15%), we see further share price upside potential as the company enters a full-scale earnings upcycle. Reflecting the favorable price and growth environment, we raise FY27E-28E EPS by 25-29% and raise our Jun-27 PT to W840k using a 20% premium to the peak-cycle valuation (a higher margin profile and greater FCF justify the higher multiple, in our view). We recommend that investors accumulate the stock. The next key catalysts we expect are 1) MLCC/substrate ASP hike commentary and announcement from SEMCO and industry peers, and 2) new AI server spec development progress and MLCC and substrate design-win announcements.

- **MLCC: ASP hike becomes official in the industry, how much price and margin can move up?** Taiyo Yuden (OW, covered by Akinori Kanemoto) officially announced ASP increases for automotive and industrial applications ([note](#)). This is the first official ASP hike signal confirmation among the major suppliers and we believe there is a strong chance that SEMCO will follow a similar trajectory in the next 1-2 quarters. We are also witnessing strong demand for side-gap construction method embedded models from next year onwards (superior performance attracting demand from ASIC customers) which could be ASP/margin-accretive to SEMCO. We model a 7%/13%/8% annualized blended USD-based MLCC ASP increase over FY26E-28E (vs. 10%/51%/8% increases during FY17-19) mainly based on mix improvement and like-for-like ASP hikes in Auto/Industrial (including servers). If the AI server-grade MLCC demand strength accelerates, there is a chance for greater capacity constraints and price hike sentiment spillover to IT MLCC segments (bull-case scenario opens up for SEMCO MLCC OPM similar to the peak in FY18). We forecast CS division OPM at 17%-26% over the next three years (vs. 30% peak OPM during the FY17-19 cycle). From a top-down industry standpoint, we see greater MLCC content per box from the server side (mainly driven by AI server strength) and estimate the server unit mix to rise from 3% in FY25 to 8% in FY28E. Capacity penalties will further tighten the MLCC S-D in coming years (Table 7, Figure 31).
- **Is MLCC the next memory? Increasing signs that they could move together as they did in the past.** Multiple investors have asked us if the MLCC S-D setup is similar to that of the memory sector. Autos have been a larger growth driver for MLCC in the past five years (vs. Servers to Memory); however, moving forward, the new demand delta for the MLCC industry will incrementally come from Servers. Both Auto/Server applications require greater capacity (2-3x higher capacity vs. IT MLCC) and such a capacity constrained element leaves upside risk to pricing. Furthermore, the aforementioned side-gap construction method MLCC indicates a greater and critical role of MLCC in stable power supply and electromagnetic interference

See page 20 for analyst certification and important disclosures, including non

Price Performance



	YTD	1m	3m	12m
Abs	166.9%	47.6%	146.6%	463.6%
Rel	119.3%	40.0%	119.4%	313.7%

Company Data

Shares O/S (mn)	78
52-week range (W)	710,000-116,200
Market cap (\$ mn)	36,217
Exchange rate	1,460.28
Free float (%)	62.9%
3M ADV (mn)	1.27
3M ADV (\$ mn)	355.6
Volatility (90 Day)	78
Index	KOSPI
BBG ANR (Buy Hold Sell)	31 0 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	11,314	13,192	15,703	17,990
Adj. EBIT	913	1,597	2,761	3,529
Adj. EBITDA	1,775	2,627	3,993	4,950
Adj. net income	702	1,261	2,188	2,810
Adj. EPS	9,054	16,265	28,212	36,230
BBG EPS	8,885	15,173	21,552	27,378
Cashflow from operations	1,394	1,799	2,858	3,826
FCFF	246	(214)	252	2,104
Margins and Growth				
Revenue Growth Y/Y (%)	9.9%	16.6%	19.0%	14.6%
EBIT margin	8.1%	12.1%	17.6%	19.6%
EBIT Growth Y/Y (%)	24.3%	74.8%	72.9%	27.8%
EBITDA margin	15.7%	19.9%	25.4%	27.5%
EBITDA Growth Y/Y (%)	18.5%	48.0%	52.0%	24.0%
Net margin	6.2%	9.6%	13.9%	15.6%
Adj. EPS growth	3.9%	79.7%	73.4%	28.4%
Ratios				
Adj. tax rate	18.3%	20.0%	19.0%	19.0%
Interest cover	449.1	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	8%	13%	19%	20%
Valuation				
FCFF yield	0.5%	-0.4%	0.5%	4.0%
Dividend yield	0.3%	0.3%	0.3%	0.3%
EV/Revenue	4.7	4.1	3.4	2.9
EV/EBITDA	29.9	20.4	13.4	10.5
Adj. P/E	75.3	41.9	24.2	18.8

Summary Investment Thesis and Valuation

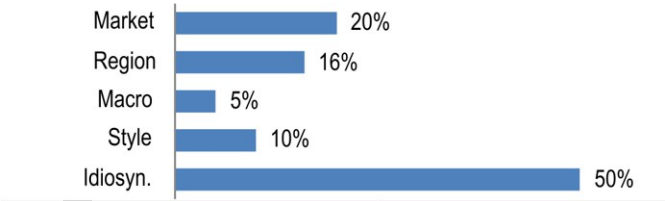
Investment Thesis

Our OW rating on SEMCO is based on: 1) MLCC product mix improvement towards Auto/Industrial, which should in turn help generate higher margins in the mid to long term; 2) improving consumer (Mobile/PC) portion of MLCC demand after a year of de-stocking; and 3) business structure enhancement from substrate (more server) and camera modules (more automotive) to minimize cyclicality.

Valuation

Our Jun-27 PT of W840k is based on 24.5x FTM P/E, a 20% premium to the previous 2016-2018 peak P/E multiple to reflect strong price/margin upcycle trends in both MLCC/Substrate with 2026E-2028E return metrics outpacing the 2016-2018 level.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.57	0.44
Region: Korea	0.27	0.44
Macro:		
Generic 1st 'CO' Future	0.32	0.25
JPM China A-shares Sentiment	-0.27	-0.25
JPM Global Equity Sentiment	-0.15	-0.16
Quant Styles:		
Growth	0.29	0.26
Momentum	0.33	0.25
Quality	0.22	0.23

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

between components to AI applications. As price acceptance levels at key end customers remain high due to the small percentage of BOM cost in the end system, we expect favorable pricing and margin implications for the industry going forward. Refer to Figure 1-16 for MLCC vs. Memory historical comparison charts.

- **Substrate: W1+trn capex investment announcement indicates stronger demand commitment.** A recent media report ([link](#)) on SEMCO potentially considering W1.8trn capex in Vietnam (which would be the company's largest historical investment) indicates a tightening of ABF substrate S-D for multiple years at the moment. SEMCO has added Google TPU (via both AVGO/MTK SKU) and NVDA switches, and a few other AI projects on top of its AWS/AMD exposure, and we see a strong chance that the new investment is associated with strategic support to the aforementioned customers. We have also picked up price hikes on PC-grade ABF substrates lately, indicating that cost inflation and substrate S-D tightness are favorably impacting the suppliers' bargaining power. We forecast a package solution sales/OP growth of +51%/134% over the next two years. This puts the OPM profile back to its historical peak level (22% in FY22).

- **Key risks.** Having seen an increase in price hike signals across the supply chain, we believe there is a strong chance that SEMCO share sentiment will stay positive in the near term. We believe the shares reflect the potential EPS upgrade into 2027E/2028E and the stock may see a correction if the anticipated price hike does not materialize in the near term. In the next 3-4 months, IT component order cuts (as a result of weaker smartphone/PC production) could weigh on MLCC utilization to some extent, and competition between tier-1 suppliers on new emerging MLCC specs deserves monitoring. As a major driver of MLCC/substrate price hikes is now related to AI demand pickup, concerns surrounding the investment cycle is the biggest risk, in our view.

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Estimate Revisions

Table 1: SEMCO: Estimate revisions

Won in billions, year-end December

	Revised			Previous			Change (%)		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	13,192	15,703	17,990	13,118	14,878	16,726	0.6	5.5	7.6
Package Solutions	2,872	3,491	4,350	2,807	3,356	4,029	2.3	4.0	8.0
Component Solutions	6,455	8,411	9,894	6,447	7,721	8,951	0.1	8.9	10.5
Module	3,864	3,801	3,745	3,864	3,801	3,745	0.0	0.0	0.0
EBIT	1,597	2,761	3,529	1,589	2,212	2,741	0.5	24.8	28.7
Package Solutions	419	759	978	406	652	871	3.1	16.5	12.3
Component Solutions	1,053	1,884	2,433	1,058	1,443	1,752	-0.4	30.6	38.9
Module	125	117	118	125	117	118	0.0	0.0	0.0
Operating Margin (%)	12.1	17.6	19.6	12.1	14.9	16.4	0.0%p	2.7%p	3.2%p
Package Solutions	14.6	21.7	22.5	14.5	19.4	21.6	0.1%p	2.3%p	0.9%p
Component Solutions	16.3	22.4	24.6	16.4	18.7	19.6	-0.1%p	3.7%p	5.0%p
Module	3.2	3.1	3.1	3.2	3.1	3.1	0.0%p	0.0%p	0.0%p
Net Profit	1,261	2,188	2,810	1,256	1,746	2,177	0.4	25.3	29.1
NP margin (%)	9.6	13.9	15.6	9.6	11.7	13.0	0.0%p	2.2%p	2.6%p

Source: J.P. Morgan estimates.

Table 2: SEMCO: J.P. Morgan vs consensus estimates

Won in billions, year-end December

	JPM estimates				Market consensus				Difference			
	1Q26E	2026E	2027E	2028E	1Q26E	2026E	2027E	2028E	1Q26E	2026E	2027E	2028E
Sales	3,092	13,192	15,703	17,990	3,127	13,350	15,687	18,043	-1%	-1%	0%	0%
OP	272	1,597	2,761	3,529	269	1,513	2,206	2,769	1%	6%	25%	27%
NP	219	1,261	2,188	2,810	211	1,210	1,767	2,216	4%	4%	24%	27%

Source: Bloomberg Finance L.P. and J.P. Morgan estimates.

Table 3: SEMCO: 1Q26 earnings preview

Won in billions, year-end December

	1Q25	4Q25	1Q26 New	1Q26 Prev esti.	Diff (%)	Q/Q (%)	Y/Y (%)	Consensus	Diff (%)
Revenue	2,739	2,902	3,092	3,096	-0.1	6.5	12.9	3,127	(1.1)
Package Solutions	499	645	672	676	-0.5	4.3	34.7		
Component Solutions	1,216	1,320	1,394	1,394	0.0	5.6	14.6		
Module	1,023	937	1,026	1,026	0.0	9.5	0.3		
Operating profit	201	239	272	272	-0.1	13.5	35.5	269	1.0
OP margin (%)	7.3	8.3	8.8	8.8				8.6	
Package Solutions	30	44	50	51	-0.5	15.9	68.3		
Component Solutions	125	157	174	174	0.0	10.9	39.8		
Module	46	38	47	47	0.0	23.4	2.2		
Net profit	138	220	219	219	-0.1	-0.6	58.8	211	3.7
NP margin (%)	5.0	7.6	7.1	7.1				6.7	

Source: Company reports, Bloomberg Finance L.P. and J.P. Morgan estimates.

Table 4: SEMCO: Capex/sales and FCF comparison across cycles

W bn

	14-16	17-19	20-22	23-25	26E-28E
<u>Capex</u>					
Component	1,089	1,899	1,367	1,026	3,300
Module	621	760	137	191	350
Substrate	887	484	1,262	1,181	2,300
Others/R&D	486	368	372	388	350
Sum total	3,084	3,512	3,139	2,786	6,300
<u>Mix</u>					
Component	35%	54%	44%	37%	52%
Module	20%	22%	4%	7%	6%
Substrate	29%	14%	40%	42%	37%
Others/R&D	16%	10%	12%	14%	6%
<u>Revenue</u>					
Component	5,839	9,095	12,555	13,564	23,552
Module	8,007	9,589	8,935	10,901	12,620
Substrate	4,463	4,388	5,818	6,054	10,714
Others	0	0	0	0	0
Sum total	18,310	23,072	27,308	30,518	46,885
<u>Capex-to-Sales</u>					
Component	19%	21%	11%	8%	14%
Module	8%	8%	2%	2%	3%
Substrate	20%	11%	22%	20%	21%
Sum total	17%	15%	11%	9%	13%
<u>OP</u>					
Component	405	1,867	2,239	1,427	5,371
Module	157	356	426	353	360
Substrate	(182)	(167)	789	507	2,156
Sum total	391	2,058	3,457	2,288	7,887
<u>OP Mix, %</u>					
Component	104%	91%	65%	62%	68%
Module	40%	17%	12%	15%	5%
Substrate	-47%	-8%	23%	22%	27%
Sum total	100%	100%	100%	100%	100%
<u>OPM, %</u>					
Component	7%	21%	18%	11%	23%
Module	2%	4%	5%	3%	3%
Substrate	-4%	-4%	14%	8%	20%
Sum total	2%	9%	13%	7%	17%
ROE, %	4%	9%	14%	7%	17%
EBITDA margin, %	12%	18%	22%	15%	25%
FCF	(1,079)	126	2,017	1,512	3,733

Source: Company data, J.P. Morgan estimates.

Table 5: SEMCO: Capex/sales trend

W bn

	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capex	754	944	836	1,196	1,052	1,113	1,252	1,147	720	927	1,491	1,019	612	1,155	2,000	2,600	1,700
Component	291	245	211	396	483	230	911	758	419	509	439	141	163	722	1,200	1,100	1,000
Module	133	187	278	289	54	416	124	220	70	27	41	48	28	116	100	150	100
Substrate	277	440	273	386	229	330	92	62	146	223	894	747	259	175	600	1,200	500
Others (incl. R&D)	53	73	75	125	287	137	125	107	86	169	118	84	162	142	100	150	100
Sales	7,913	8,257	6,100	6,176	6,033	6,838	8,193	8,041	8,209	9,675	9,425	8,909	10,294	11,314	13,192	15,703	17,990
Component	1,876	1,895	1,883	2,028	1,929	2,338	3,545	3,212	3,645	4,778	4,132	3,903	4,462	5,198	6,404	7,908	9,239
Module	3,941	4,498	2,588	2,631	2,788	3,054	3,176	3,358	2,802	2,929	3,204	3,289	3,797	3,814	3,915	4,304	4,401
Substrate	2,096	1,865	1,630	1,517	1,317	1,447	1,472	1,470	1,761	1,968	2,088	1,717	2,035	2,302	2,872	3,491	4,350
Others (incl. R&D)																	
Capex-to-Sales, %	10%	11%	14%	19%	17%	16%	15%	14%	9%	10%	16%	11%	6%	10%	15%	17%	9%
Component	15%	13%	11%	20%	25%	10%	26%	24%	11%	11%	11%	4%	4%	14%	19%	14%	11%
Module	3%	4%	11%	11%	2%	14%	4%	7%	2%	1%	1%	1%	1%	3%	3%	3%	2%
Substrate	13%	24%	17%	25%	17%	23%	6%	4%	8%	11%	43%	43%	13%	8%	21%	34%	11%
Others (incl. R&D)																	

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Table 6: SEMCO: MLCC sales mix trends by application

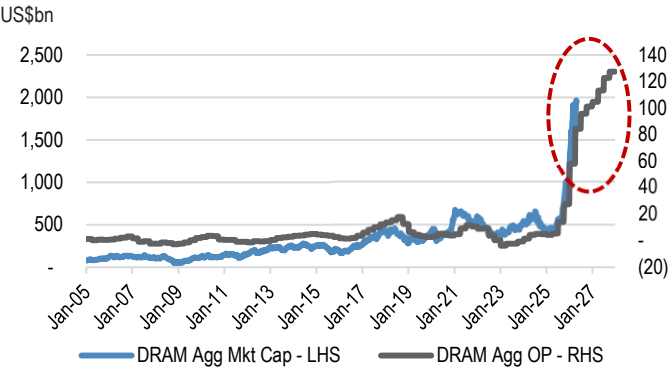
%

Sales mix	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
IT	61%	54%	55%	57%	53%	49%	49%	49%	44%	37%	34%
Auto	5%	9%	8%	8%	16%	21%	23%	26%	26%	27%	28%
Industrial	15%	20%	22%	21%	18%	19%	19%	19%	26%	33%	36%
Commodity	19%	17%	15%	14%	13%	12%	10%	7%	4%	3%	2%

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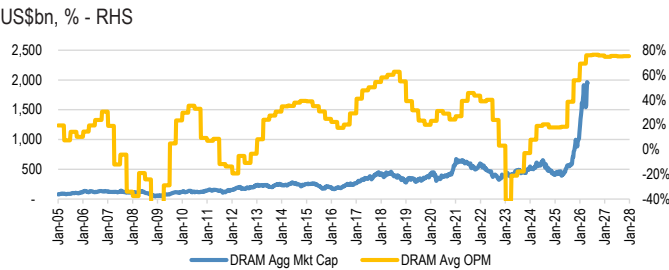
DRAM vs. MLCC

Figure 1: DRAM market cap vs. DRAM OP



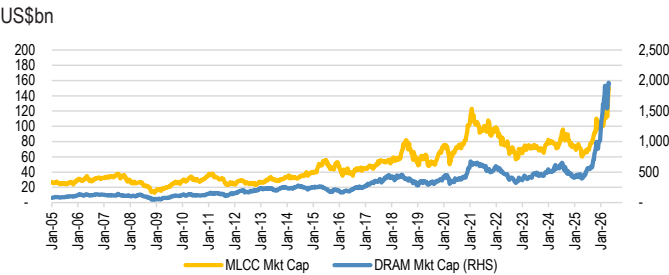
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: DRAM makers include SEC, SKH, MU, NYT

Figure 3: DRAM market cap vs. DRAM OPM



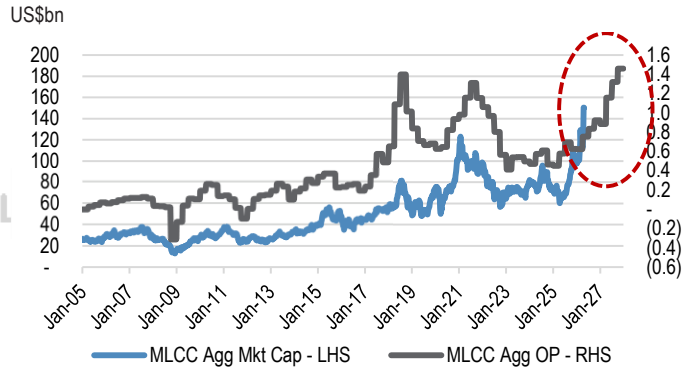
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: DRAM makers include SEC, SKH, MU, NYT

Figure 5: DRAM vs. MLCC market cap



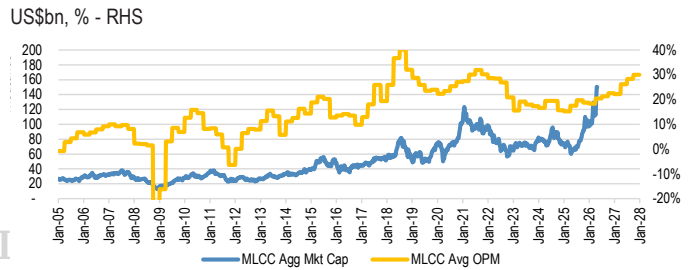
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 1) MLCC players include Tai Yuden, Murata, TDK, SEMCO, Yageo; 2) DRAM makers include SEC, SKH, MU, NYT

Figure 2: MLCC market cap vs. MLCC OP



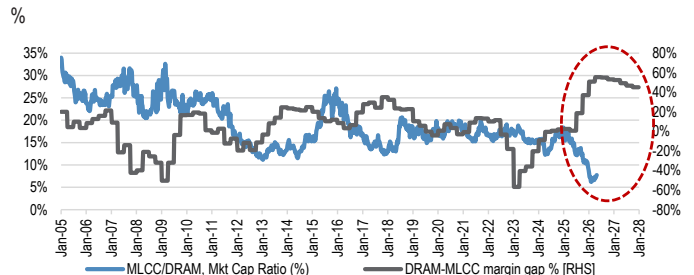
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: MLCC players include Tai Yuden, Murata, TDK, SEMCO, Yageo

Figure 4: MLCC market cap vs. MLCC OPM



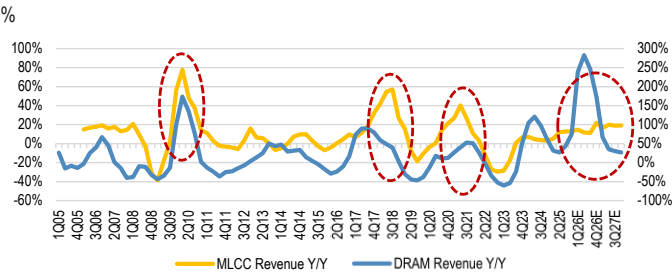
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: MLCC players include Tai Yuden, Murata, TDK, SEMCO, Yageo.

Figure 6: MLCC vs. DRAM in market cap and OPM gap



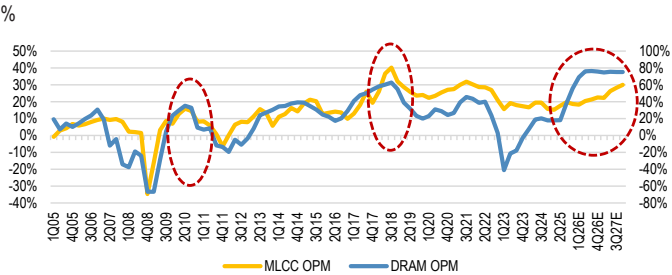
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 1) MLCC players include Tai Yuden, Murata, TDK, SEMCO, Yageo; 2) DRAM makers include SEC, SKH, MU, NYT

Figure 7: DRAM vs. MLCC TAM y-y comparison



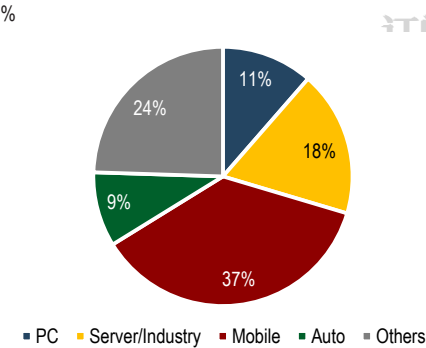
Source: Company data, J.P. Morgan estimates.

Figure 9: DRAM vs. MLCC OPM comparison



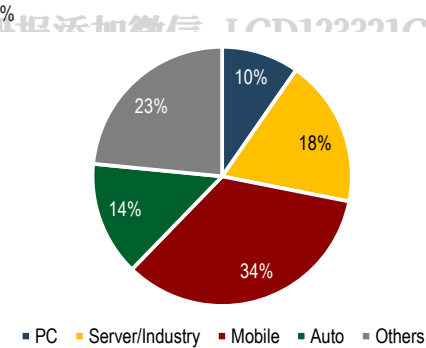
Source: Company data, J.P. Morgan estimates.

Figure 11: MLCC demand mix (2021)



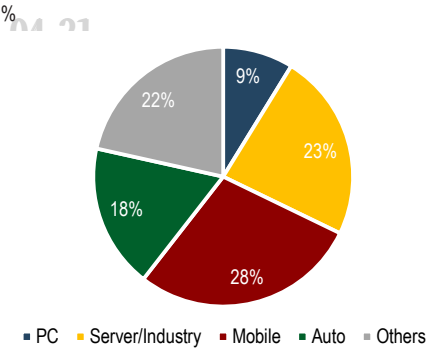
Source: Company data, J.P. Morgan estimates.

Figure 12: MLCC demand mix (2025)



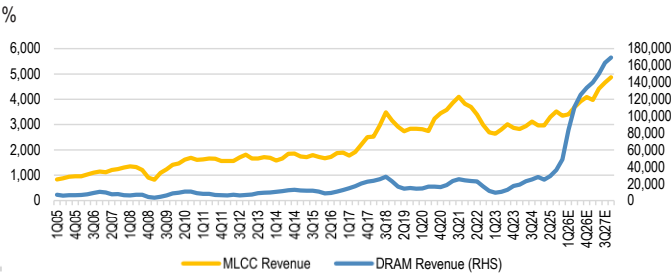
Source: Company data, J.P. Morgan estimates.

Figure 13: MLCC demand mix (2028E)



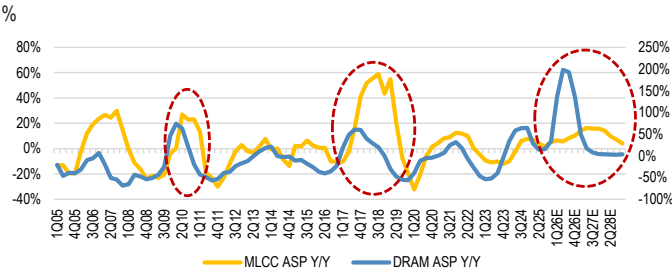
Source: Company data, J.P. Morgan estimates.

Figure 8: DRAM vs. MLCC TAM comparison



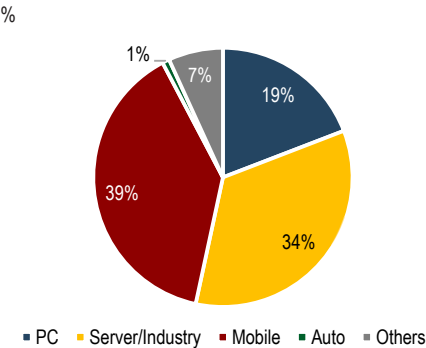
Source: Company data, J.P. Morgan estimates.

Figure 10: DRAM vs. MLCC ASP y-y comparison



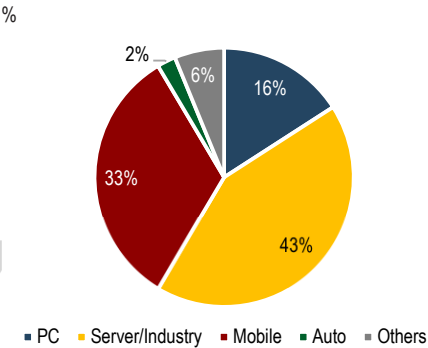
Source: Company data, J.P. Morgan estimates.

Figure 14: DRAM demand mix (2021)



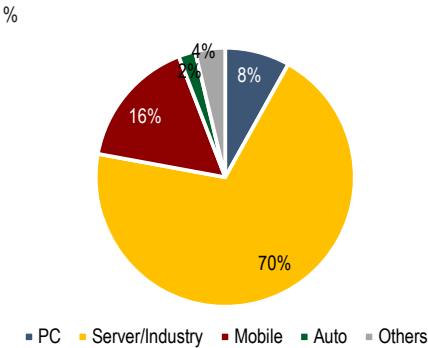
Source: Company data, J.P. Morgan estimates.

Figure 15: DRAM demand mix (2025)



Source: Company data, J.P. Morgan estimates.

Figure 16: DRAM demand mix (2028E)



Source: Company data, J.P. Morgan estimates.

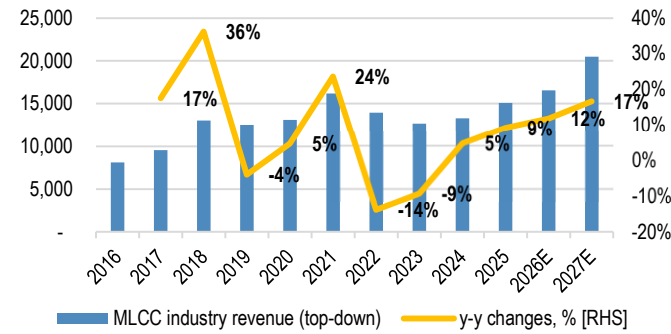
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MLCC industry model (top-down)

Figure 17: MLCC industry revenue and YoY

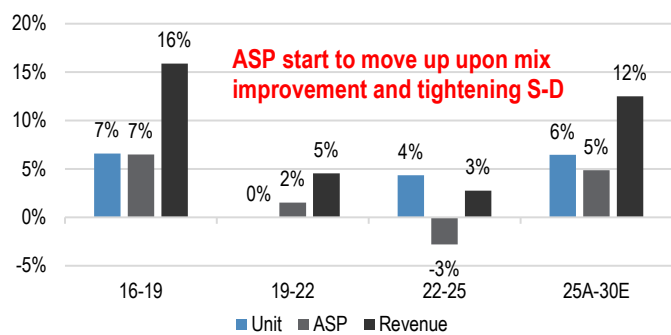
US\$mn, % - RHS



Source: J.P. Morgan estimates, Company data.

Figure 19: MLCC industry revenue, volume, ASP CAGR comparison

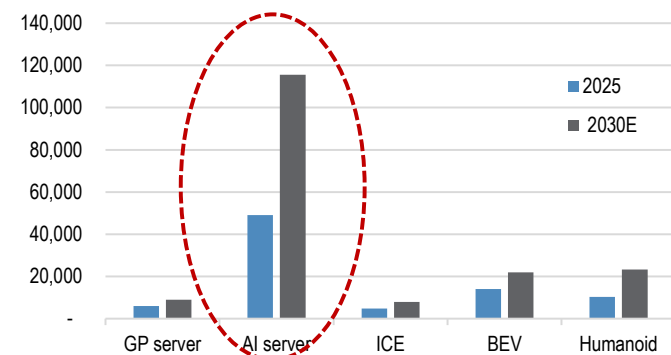
%



Source: J.P. Morgan estimates, Company data.

Figure 21: MLCC content comparison by application for 2030E

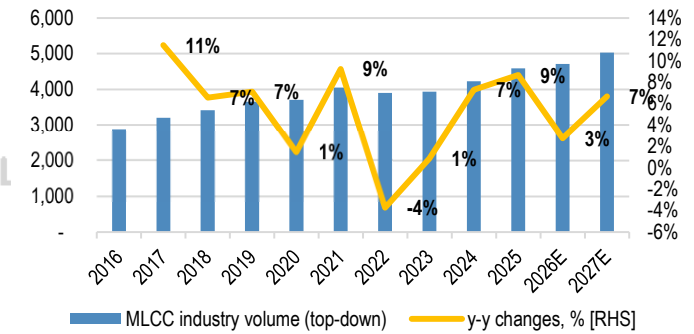
units



Source: J.P. Morgan estimates, Company data.

Figure 18: MLCC industry volume and YoY

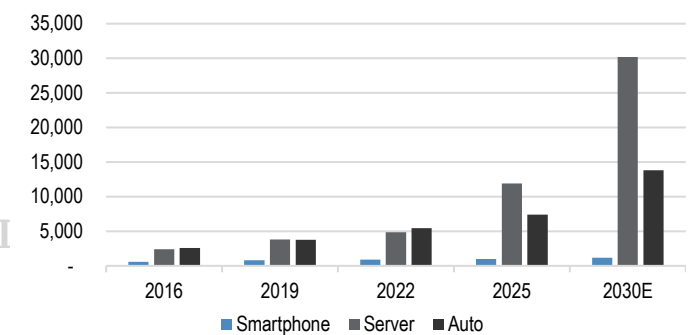
US\$mn, % - RHS



Source: J.P. Morgan estimates, Company data.

Figure 20: MLCC content comparison by application

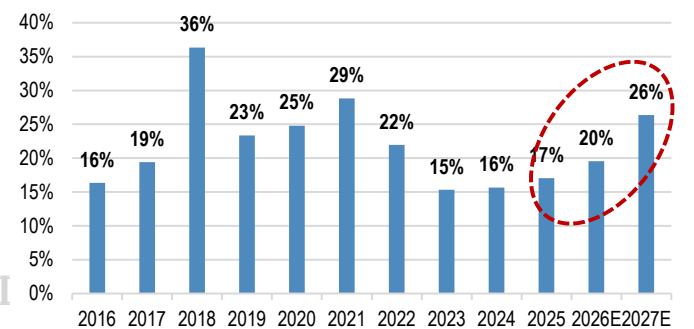
Units



Source: J.P. Morgan estimates, Company data.

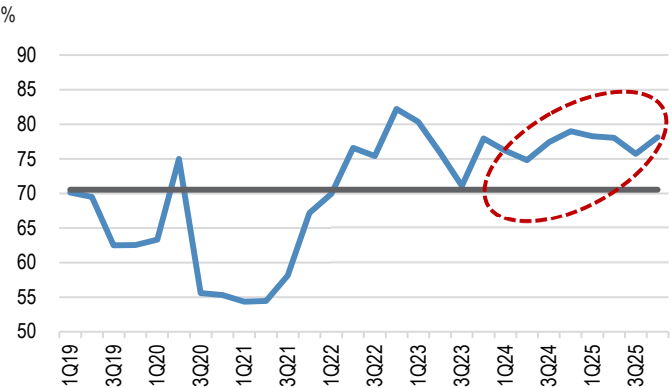
Figure 22: MLCC industry bottom-up OPM trend

%



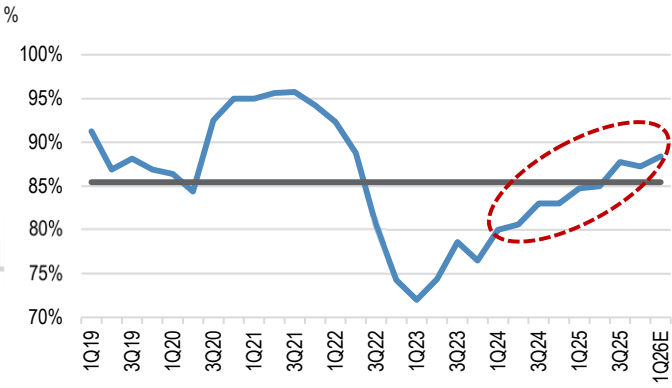
Source: J.P. Morgan estimates, Company data.

Figure 23: MLCC players' UTR trend



Source: J.P. Morgan estimates, Company data.

Figure 24: MLCC players' inventory days outstanding



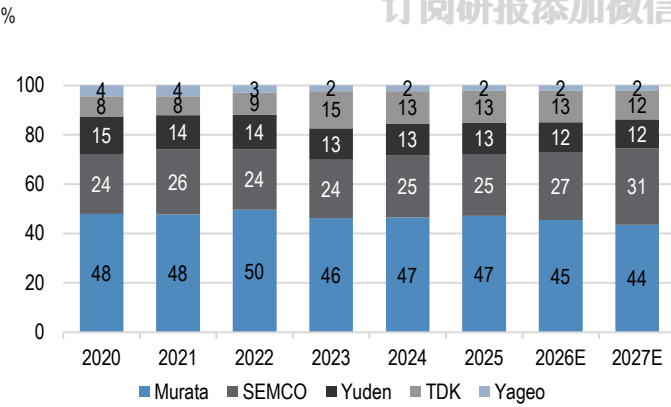
Source: J.P. Morgan estimates, Company data.

Table 7: MLCC industry demand forecasts

Units in billions													
Unit in billions	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
MLCC demand	2,375	3,206	3,415	3,655	3,710	4,053	3,962	3,837	4,224	4,531	4,747	5,032	5,315
y/y changes, %		11%	7%	7%	1%	9%	-4%	1%	7%	9%	3%	7%	7%
Mobile	1,132	1,288	1,329	1,390	1,341	1,483	1,496	1,374	1,465	1,568	1,492	1,490	1,519
PoC/Server	296	336	376	401	442	520	484	430	474	590	643	775	981
Consumer	811	848	900	955	985	993	991	1,000	1,043	1,077	1,099	1,122	1,163
Automotive	237	273	311	333	322	377	421	513	582	656	734	841	962
Industrial/Other	400	460	500	550	620	680	700	720	660	700	751	804	961
Auto as % of total MLCC	8.2%	8.5%	9.1%	9.1%	8.7%	9.3%	10.8%	13.0%	13.8%	14.3%	15.6%	16.7%	17.9%
Server as % of total MLCC	0.9%	1.1%	1.3%	1.3%	1.4%	1.4%	1.7%	1.6%	2.1%	3.2%	4.9%	7.0%	7.6%
Humanoid as % of total MLCC									0.0%	0.0%	0.0%	0.1%	0.2%
Auto + Server + Humanoid	9.2%	9.6%	10.4%	10.4%	10.1%	10.7%	12.5%	14.6%	15.8%	17.5%	20.5%	23.8%	25.7%
Supply mix of three segment	22.9%	24.0%	26.0%	26.0%	25.2%	26.8%	31.3%	36.5%	39.6%	43.7%	51.2%	58.4%	64.3%
y/y mix changes, %		1.1%	2.0%	-0.1%	-0.8%	1.6%	4.5%	6.2%	3.1%	4.1%	7.6%	8.2%	4.9%

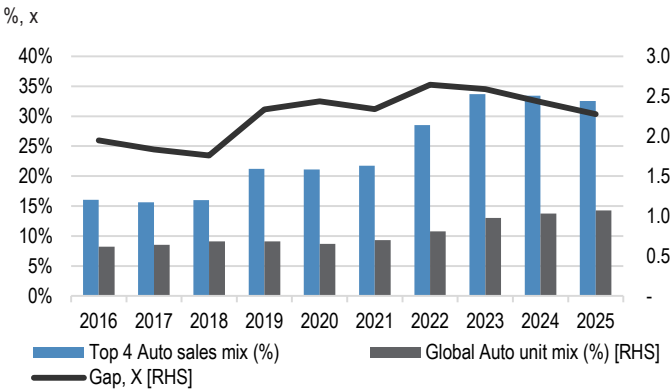
Source: J.P. Morgan estimates, Company data.

Figure 25: MLCC Industry Bottom-up Wallet Share Comparison (Value)



Source: J.P. Morgan estimates, Company data.

Figure 26: MLCC top 5 auto MLCC sales mix (%) and global auto MLCC unit sales mix (%) comparison



Source: J.P. Morgan estimates, Company data.

Table 8: Auto MLCC peer comparison analysis

Revenue in US\$bn

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	25A vs. 22
Auto revenue											
Murata	0.8	0.9	1.3	1.4	1.5	2.0	2.1	2.0	2.1	2.1	0%
TDK	0.2	0.2	0.3	0.4	0.4	0.5	0.5	0.8	0.7	0.8	81%
Yuden	0.1	0.1	0.2	0.2	0.3	0.4	0.4	0.4	0.5	0.5	18%
SEMCO	0.0	0.0	0.1	0.2	0.2	0.3	0.5	0.5	0.7	0.9	91%
Sum total	1.1	1.3	1.9	2.3	2.4	3.2	3.5	3.8	3.9	4.3	25%
Auto mix, %											
Murata	24%	23%	25%	28%	27%	28%	35%	38%	37%	34%	-1%
TDK	32%	31%	34%	42%	45%	43%	42%	48%	48%	48%	6%
Yuden	8%	11%	13%	13%	17%	20%	26%	31%	31%	31%	5%
SEMCO	1%	1%	5%	9%	8%	8%	16%	21%	23%	26%	11%
Sum total	16%	16%	16%	21%	21%	22%	29%	34%	33%	33%	4%
Auto y-y											
Murata		13%	41%	15%	4%	33%	6%	-5%	3%	2%	0%
TDK		9%	29%	21%	11%	14%	-7%	78%	-10%	12%	22%
Yuden		49%	55%	9%	41%	37%	6%	-1%	8%	11%	6%
SEMCO		87%	538%	60%	2%	36%	49%	20%	24%	29%	24%
Sum total		16%	49%	18%	8%	30%	8%	10%	4%	10%	8%
Auto share, %											
Murata	71%	69%	66%	64%	61%	62%	61%	53%	52%	49%	-12%
TDK	20%	19%	17%	17%	17%	15%	13%	21%	19%	19%	6%
Yuden	8%	10%	10%	9%	12%	13%	13%	11%	12%	12%	-1%
SEMCO	1%	2%	7%	10%	9%	10%	13%	14%	17%	20%	7%

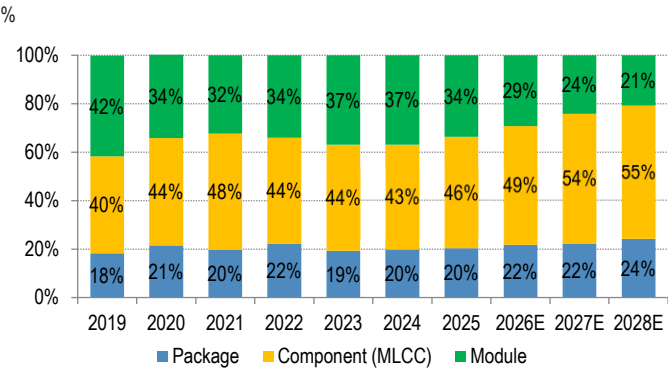
Source: J.P. Morgan estimates, Company data. *note: above is only MLCC revenue specific to automotive applications

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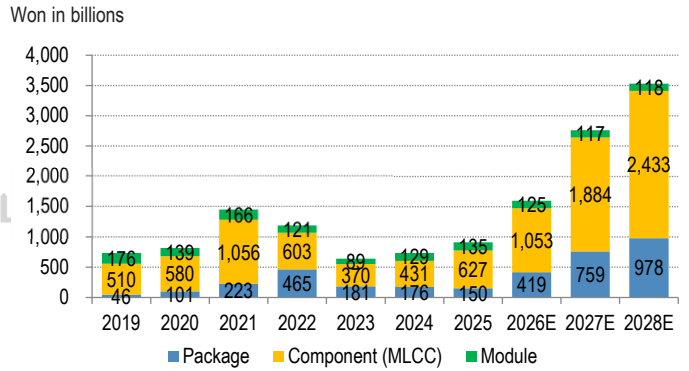
Key business and share price charts

Figure 27: SEMCO: Sales mix by division



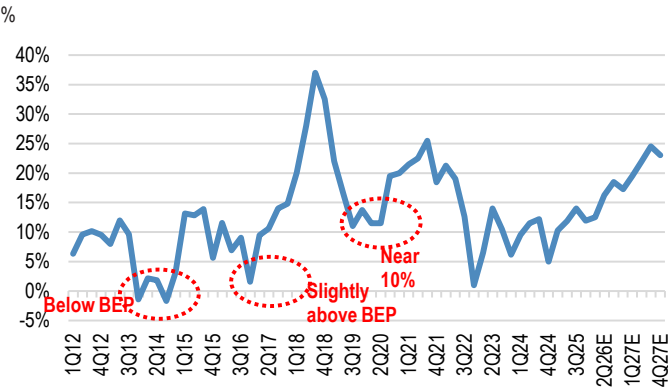
Source: Company data, J.P. Morgan estimates.

Figure 28: SEMCO: OP contribution by division



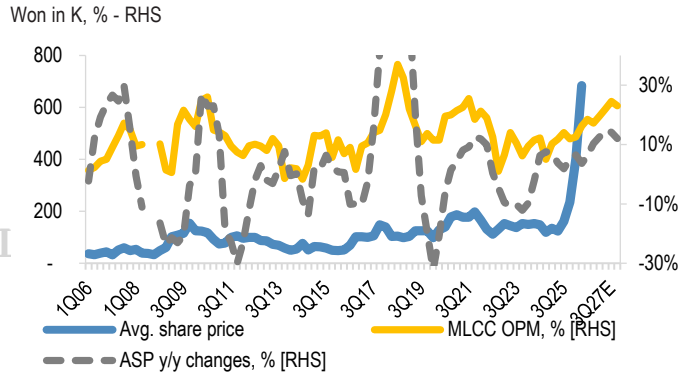
Source: Company data, J.P. Morgan estimates.

Figure 29: SEMCO: Component solution OPM trend



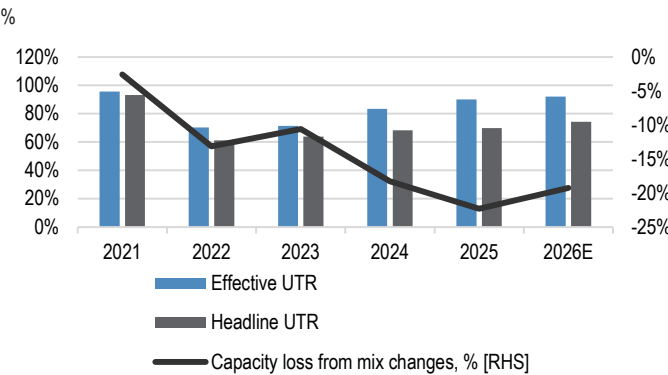
Source: Company data, J.P. Morgan estimates.

Figure 30: SEMCO: Share price trend vs. MLCC OPM



Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

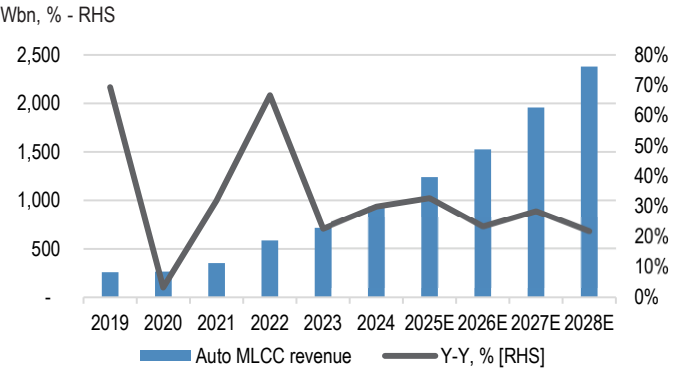
Figure 31: UTR and capacity loss from mix change trend



Source: Company data, J.P. Morgan estimates.

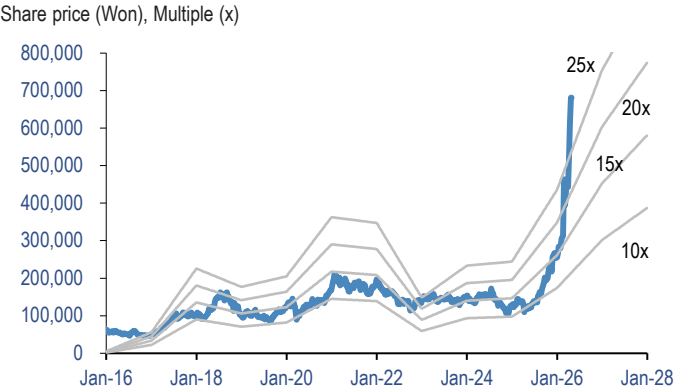
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Figure 32: SEMCO: Auto MLCC sales and Y/Y% growth



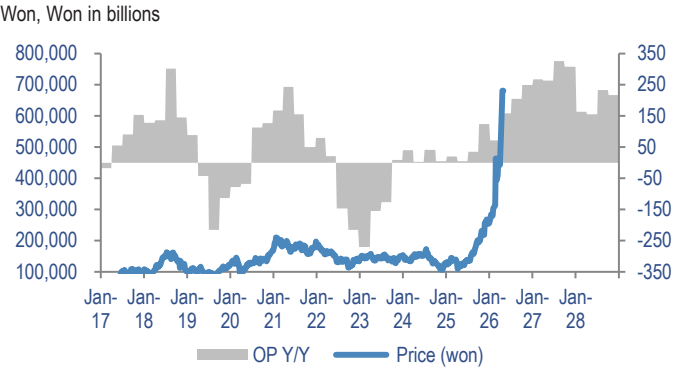
Source: Company data, J.P. Morgan estimates.

Figure 34: SEMCO – FTM P/E band



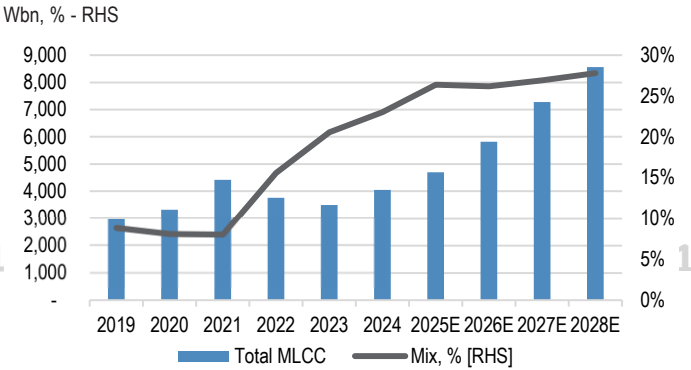
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 36: SEMCO: Share price vs quarterly OP y/y trend



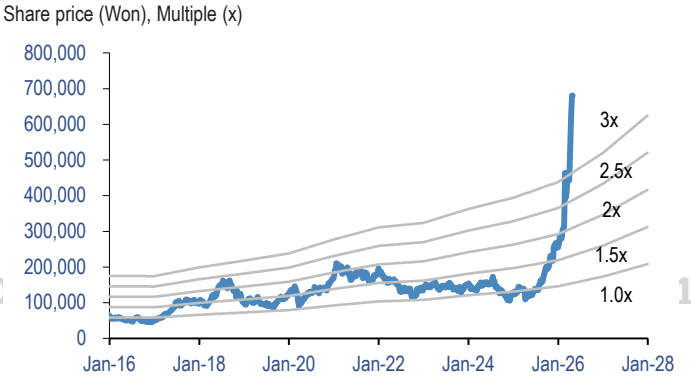
Source: Company data, Bloomberg Finance L.P., J. P. Morgan estimates. Note: The periods from 2Q25E onwards are JPMe.

Figure 33: SEMCO: MLCC total sales and MLCC % mix



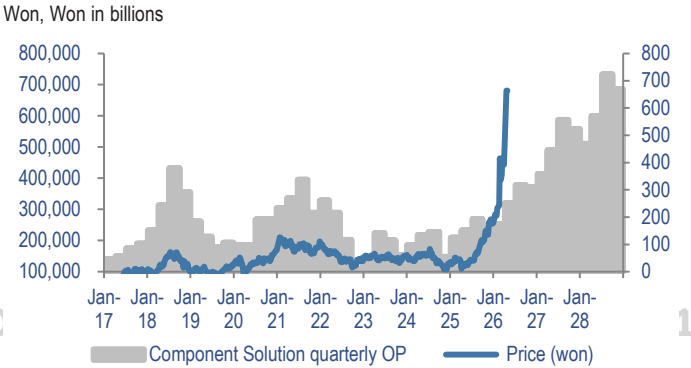
Source: Company data, J.P. Morgan estimates

Figure 35: SEMCO – FTM P/B band



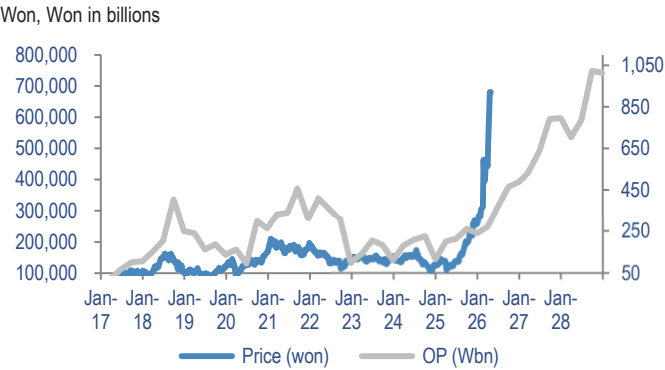
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 37: SEMCO: Share price vs component solution quarterly OP



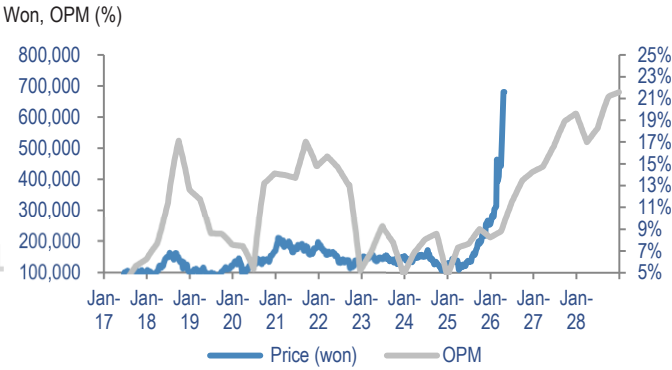
Source: Company data, Bloomberg Finance L.P., J. P. Morgan estimates. Note: The periods from 2Q25E onwards are JPMe.

Figure 38: SEMCO: Share price vs quarterly OP



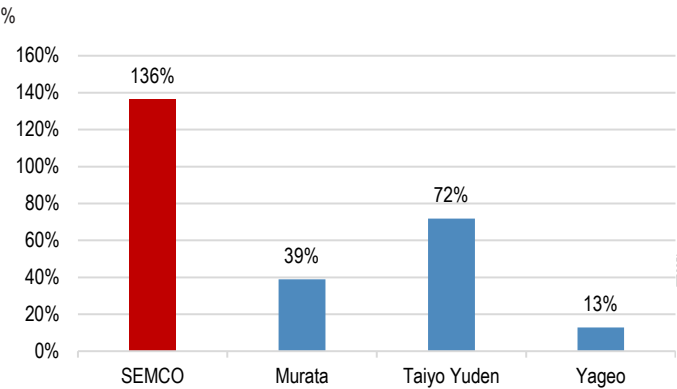
Source: Company data, Bloomberg Finance L.P., J. P. Morgan estimates. Note: The periods from 2Q25E onwards are JPMe.

Figure 39: SEMCO: Share price vs quarterly OPM



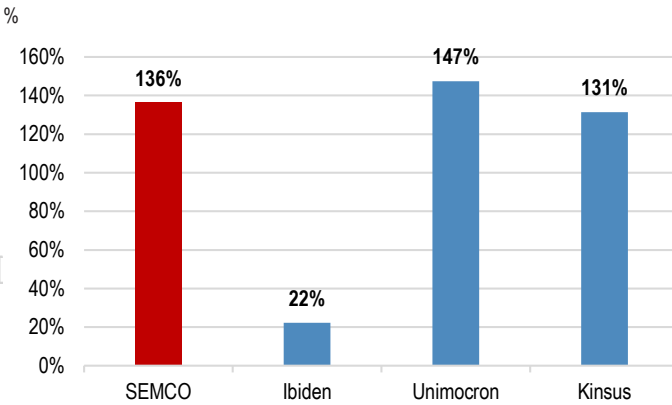
Source: Company data, Bloomberg Finance L.P., J. P. Morgan estimates. Note: The periods from 2Q25E onwards are JPMe.

Figure 40: Past 3M price performance: SEMCO vs MLCC peers



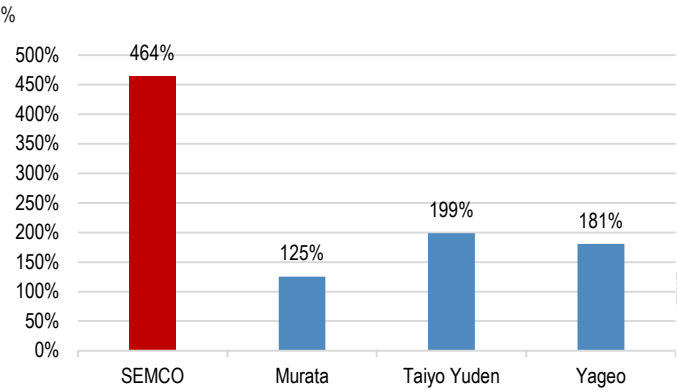
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Figure 41: Past 3M price performance: SEMCO vs substrate peers



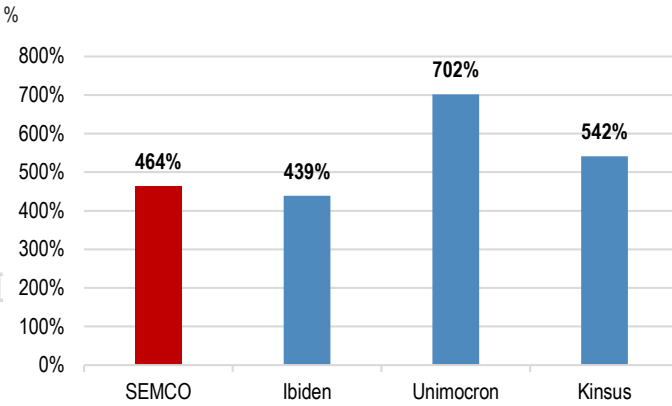
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Figure 42: Past 12M price performance: SEMCO vs MLCC peers



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Figure 43: Past 12M price performance: SEMCO vs substrate peers



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Table 9: SEMCO: Earnings model

Won in billions, year-end December

	2025				2026E				2027E				2023	2024	2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE						
Revenue	2,739	2,785	2,889	2,902	3,092	3,234	3,446	3,419	3,651	3,809	4,180	4,063	8,909	10,294	11,314	13,192	15,703	17,990
Substrate	499	565	593	645	672	707	725	769	765	833	915	979	1,717	2,035	2,302	2,872	3,491	4,350
MLCC	1,216	1,281	1,381	1,320	1,394	1,547	1,717	1,797	1,835	2,027	2,274	2,275	3,903	4,462	5,198	6,455	8,411	9,894
Module	1,023	939	915	937	1,026	981	1,004	853	1,051	949	992	809	3,289	3,797	3,814	3,864	3,801	3,745
Others	0	0	0	0	0	0	0	0	0	0	0	0	0	1	0	0	0	0
Dep. & Amor. Expenses	(204)	(212)	(220)	(227)	(241)	(251)	(264)	(274)	(289)	(299)	(316)	(328)	(765)	(764)	(862)	(1,030)	(1,232)	(1,421)
COGS	(2,230)	(2,219)	(2,289)	(2,300)	(2,417)	(2,437)	(2,536)	(2,489)	(2,637)	(2,680)	(2,848)	(2,740)	(7,189)	(8,335)	(9,037)	(9,879)	(10,904)	(12,126)
Gross Profit	509	565	601	603	675	797	910	930	1,014	1,129	1,333	1,323	1,721	1,959	2,277	3,312	4,799	5,864
Operating Expense	(308)	(352)	(340)	(363)	(403)	(426)	(445)	(441)	(475)	(495)	(542)	(527)	(1,081)	(1,224)	(1,364)	(1,716)	(2,039)	(2,335)
EBIT	201	213	260	239	272	371	465	489	540	634	791	796	639	735	913	1,597	2,761	3,529
Substrate	30	35	42	44	50	99	123	146	138	167	210	245	181	176	150	419	759	978
MLCC	125	152	193	157	174	251	318	310	358	446	557	523	370	431	627	1,053	1,884	2,433
Module	46	25	26	38	47	21	24	33	44	21	23	28	89	129	135	125	117	118
Others	(0)	1	(0)	1	0	0	0	0	0	0	0	0	(0)	(1)	1	0	0	0
Net Interest Income	(4)	(5)	(1)	7	6	5	3	2	3	3	1	1	(15)	(1)	(4)	16	8	27
Net Other Income	(23)	(36)	23	23	4	5	5	5	5	5	6	6	(82)	63	(14)	19	23	26
Pre Tax Profit	174	171	282	269	282	381	473	497	548	642	798	803	543	797	896	1,632	2,791	3,583
Tax	(32)	(34)	(57)	(41)	(56)	(76)	(95)	(99)	(104)	(122)	(152)	(153)	(85)	(132)	(164)	(326)	(530)	(681)
Net Profit	138	124	220	220	219	290	367	385	430	499	627	631	425	676	702	1,261	2,188	2,810
EPS (W)	1,775	1,604	2,834	2,835	2,819	3,738	4,732	4,966	5,546	6,432	8,081	8,132	5,473	8,707	9,047	16,254	28,192	36,205
Margins (%)																		
Gross Margin	19	20	21	21	22	25	26	27	28	30	32	33	19	19	20	25	31	33
Operating Margin	7	8	9	8	9	11	13	14	15	17	19	20	7	7	8	12	18	20
EBITDA Margin	15	15	17	16	17	19	21	22	23	24	26	28	16	15	16	20	25	28
Net Margin	5	4	8	8	7	9	11	11	12	13	15	16	5	7	6	10	14	16
Divisional Margin (%)																		
Substrate	6	6	7	7	8	14	17	19	18	20	23	25	11	9	7	15	22	22
MLCC	10	12	14	12	13	16	19	17	20	22	25	23	9	10	12	16	22	25
Module	5	3	3	4	5	2	2	4	4	2	2	4	3	3	4	3	3	3
Sequential Growth (%)																		
Revenue	10	2	4	0	7	5	7	(1)	7	4	10	(3)	(5)	16	10	17	19	n/a
Gross Profit	16	11	6	0	12	18	14	2	9	11	18	(1)	(24)	14	16	45	45	n/a
EBIT	74	6	22	(8)	13	37	25	5	10	17	25	1	(46)	15	24	75	73	n/a
Net Profit	(34)	(10)	77	0	(1)	33	27	5	12	16	26	1	(58)	59	4	80	73	n/a
EPS	(34)	(10)	77	0	(1)	33	27	5	12	16	26	1	(58)	59	4	80	73	n/a

Investment Thesis, Valuation and Risks

Samsung Electro-Mechanics (*Overweight; Price Target: W840,000*)

Investment Thesis

Our OW rating on SEMCO is based on: 1) MLCC product mix improvement towards Auto/Industrial, which should in turn help generate higher margins in the mid to long term; 2) improving consumer (Mobile/PC) portion of MLCC demand after a year of de-stocking; and 3) business structure enhancement from substrate (more server) and camera modules (more automotive) to minimize cyclicality.

Valuation

Our Jun-27 PT of W840k is based on 24.5x FTM P/E, a 20% premium to the previous 2016-2018 peak P/E multiple to reflect strong price/margin upcycle trends in both MLCC/Substrate with 2026E-2028E return metrics outpacing the 2016-2018 level.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) Greater competition in Auto/IT MLCC translating into ASP declines and margin deterioration; 2) slower-than-expected Vietnam substrate ramp progress; and 3) a weaker-than-expected IT MLCC and substrate order recovery from China.

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Samsung Electro-Mechanics: Summary of Financials

Income Statement						Cash Flow Statement					
	FY23A	FY24A	FY25A	FY26E	FY27E		FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	8,909	10,294	11,314	13,192	15,703	Cash flow from operating activities	1,051	993	1,394	1,799	2,858
COGS	(6,423)	(7,571)	(8,175)	(8,849)	(9,672)	o/w Depreciation & amortization	765	764	862	1,030	1,232
Gross profit	1,721	1,959	2,277	3,312	4,799	o/w Changes in working capital	(173)	(436)	(201)	(536)	(635)
SG&A	(281)	(331)	(388)	(582)	(693)	Cash flow from investing activities	(1,106)	(1,215)	(1,460)	(2,000)	(2,600)
Adj. EBITDA	1,405	1,499	1,775	2,627	3,993	o/w Capital expenditure	(1,133)	(1,094)	(1,151)	(2,000)	(2,600)
D&A	(765)	(764)	(862)	(1,030)	(1,232)	as % of sales	12.7%	10.6%	10.2%	15.2%	16.6%
Adj. EBIT	639	735	913	1,597	2,761	Cash flow from financing activities	47	566	754	(183)	(218)
Net Interest	(15)	(1)	(4)	16	8	o/w Dividends paid	(159)	(87)	(136)	(183)	(218)
Adj. PBT	543	797	896	1,632	2,791	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(85)	(132)	(164)	(326)	(530)	o/w Net debt issued/(repaid)	169	246	705	0	0
Minority Interest	(28)	14	(25)	(39)	(68)	Net change in cash	(8)	344	688	(383)	40
Adj. Net Income	425	676	702	1,261	2,188	Adj. Free cash flow to firm	(70)	(100)	246	(214)	252
Reported EPS	5,477	8,713	9,054	16,265	28,212	y/y Growth	-44.5%	42.2%	-346.1%	-186.8%	-217.9%
Adj. EPS	5,477	8,713	9,054	16,265	28,212						
DPS	2,100	2,100	2,100	2,100	2,100						
Payout ratio	38.3%	24.1%	23.2%	12.9%	7.4%						
Shares outstanding	78	78	78	78	78						
Balance Sheet						Ratio Analysis					
	FY23A	FY24A	FY25A	FY26E	FY27E		FY23A	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	1,669	2,013	2,701	2,318	2,358	Gross margin	19.3%	19.0%	20.1%	25.1%	30.6%
Accounts receivable	1,235	1,484	1,855	2,186	2,597	EBITDA margin	15.8%	14.6%	15.7%	19.9%	25.4%
Inventories	2,120	2,251	2,413	2,693	3,022	EBIT margin	7.2%	7.1%	8.1%	12.1%	17.6%
Other current assets	185	143	128	151	179	Net profit margin	4.8%	6.6%	6.2%	9.6%	13.9%
Current assets	5,208	5,892	7,098	7,347	8,156	ROE	6%	8%	8%	13%	19%
PP&E	5,603	5,933	6,222	7,192	8,559	ROA	3.7%	5.5%	5.1%	8.3%	12.9%
LT investments	695	822	1,124	1,124	1,124	ROCE	5.9%	6.2%	6.8%	10.6%	16.4%
Other non current assets	151	146	152	152	152	SG&A/Sales	3.2%	3.2%	3.4%	4.4%	4.4%
Total assets	11,658	12,792	14,596	15,816	17,992	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	1,305	1,558	2,003	2,003	2,003	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	1,283	1,157	1,412	1,509	1,643	Sales/Assets (x)	0.8	0.8	0.8	0.9	0.9
Other short term liabilities	312	342	404	404	404	Assets/Equity (x)	1.5	1.5	1.5	1.5	1.5
Current liabilities	2,900	3,057	3,819	3,916	4,050	Interest cover (x)	96.2	2,190.5	449.1	NM	NM
Long-term debt	217	0	0	0	0	Operating leverage	840.6%	96.2%	244.8%	451.0%	382.9%
Other long term liabilities	511	720	979	979	979	Tax rate	15.6%	16.6%	18.3%	20.0%	19.0%
Total liabilities	3,628	3,777	4,799	4,895	5,029	Revenue y/y Growth	-5.5%	15.5%	9.9%	16.6%	19.0%
Shareholders' equity	7,848	8,789	9,542	10,625	12,600	EBITDA y/y Growth	-29.4%	6.7%	18.5%	48.0%	52.0%
Minority interests	183	227	256	295	363	EPS y/y Growth	-57.7%	59.1%	3.9%	79.7%	73.4%
Total liabilities & equity	11,658	12,792	14,596	15,816	17,992						
BVPS	98,845	110,417	119,749	133,218	157,806						
y/y Growth	3.8%	11.7%	8.5%	11.2%	18.5%						
Net debt/(cash)	(148)	(455)	(698)	(314)	(354)						
						Valuation					
	FY23A	FY24A	FY25A	FY26E	FY27E		FY23A	FY24A	FY25A	FY26E	FY27E
P/E (x)	124.5	78.3	75.3	41.9	24.2						
P/BV (x)	6.9	6.2	5.7	5.1	4.3						
EV/EBITDA (x)	38.1	35.5	29.9	20.4	13.4						
Dividend Yield	0.3%	0.3%	0.3%	0.3%	0.3%						

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

Samsung Electro-Mechanics (009150 KS) - Rating and price target changes as of 21-Apr-26

Date	Rating	Price Target (Won)
01-Feb-24	OW	165,000
04-Apr-24	OW	185,000
30-Apr-24	OW	185,000
04-Jul-24	OW	195,000
02-Oct-24	OW	175,000
29-Oct-24	OW	165,000
08-Jan-25	OW	165,000
25-Feb-25	OW	175,000
29-Apr-25	OW	155,000
03-Jul-25	OW	165,000
08-Sep-25	OW	230,000
29-Oct-25	OW	275,000
20-Nov-25	OW	275,000
21-Jan-26	OW	325,000
02-Apr-26	OW	550,000
21-Apr-26	OW	840,000

Source: Bloomberg Finance L.P., J.P. Morgan.

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Companies Discussed in This Report (all prices in this report as of market close on 20 April 2026, unless otherwise indicated)
Taiyo Yuden (6976)(6976.T/¥6,222/OW)

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